# ETHICAL AND REGULATORY ISSUES IN AI FOR MARKETING, CONSUMER BEHAVIOR, AND HR

Exploring AI's impact within key business domains responsibly

# ETHICAL & REGULATORY ISSUES IN AI FOR BUSINESS

**AI Integration in Business**

AI is widely used in marketing, consumer analysis, and human resources functions.

**Ethical Challenges**

Ethical concerns include privacy breaches, manipulation, and algorithmic bias in AI.

**Regulatory Compliance**

Businesses must comply with data protection laws and anti-discrimination regulations when using AI.

**Importance for Future Leaders**

Understanding AI ethics and regulations ensures responsible and fair AI use in business.



# AI IN MARKETING AND CONSUMER BEHAVIOR

# OVERVIEW OF AI IN MARKETING

**AI Enhances Personalization**

AI uses data to create tailored advertisements and product recommendations for consumers.

**Optimizing Targeting Strategies**

Advanced algorithms improve marketing efficiency by refining consumer targeting methods.

**Ethical Challenges in AI**

AI-driven marketing raises concerns about data privacy, manipulation, and bias in algorithms.

**Need for Transparency**

Transparency and accountability are essential to address manipulation and reinforce trust.



# ETHICAL CONCERNS IN AI MARKETING



**Privacy Issues**

AI marketing often uses personal data without explicit consumer consent, raising privacy concerns.

**Manipulative Targeting**

AI can nudge consumers toward decisions that may not be in their best interest.

**Bias and Discrimination**

Personalization bias may lead to unequal treatment and discrimination among consumer groups.

**Transparency Importance**

Clear explanation of AI decision-making builds consumer trust and ethical marketing.

# EU AI ACT



## Comprehensive AI Regulation

The EU AI Act is the first global legal framework regulating artificial intelligence technologies comprehensively.

## Territorial Scope and Application

The Act applies to AI systems impacting EU residents, regardless of where the provider is based.

## Ethical and Human-Centric AI

The regulation ensures AI systems are *safe, ethical, and respect fundamental rights*.

## Balancing Innovation and Rights

The Act balances technological advancement with individual rights protection to foster trust and competitiveness.

# EU AI ACT PRIORITIZES FUNDAMENTAL RIGHTS



**1. Human Dignity**

AI systems must not undermine the inherent dignity of individuals – freedom and autonomy

**2. Right to Privacy and Data Protection**

AI systems must comply with the **GDPR**, ensuring:

- Lawful data processing
- Data minimization
- Purpose limitation
- Transparency and user control

**3. Non-Discrimination and Equality**

AI systems must avoid bias and discrimination based on race, gender, religion, disability, or other protected characteristics.

**4. Freedom of Expression and Information**

AI must not suppress or manipulate access to information or expression, particularly in content moderation or recommendation algorithms.

**5. Freedom of Assembly and Association**

AI systems used in public surveillance or crowd control must not infringe on the right to peaceful assembly.

**6. Right to an Effective Remedy and Fair Trial**

**7. Rights of the Child**

**8. Protection of Vulnerable Groups**

E.g. elderly, disabled, or economically disadvantaged.

# EU AI ACT (4 RISK CATEGORIES)



| *Risk Level* | *Treatment* | *Examples* |
|---|---|---|
| **Unacceptable Risk** | Prohibited | Social scoring, manipulative AI, certain biometric surveillance uses |
| **High Risk** | Strictly regulated | AI used in recruitment, education, critical infrastructure, law enforcement, credit assessment |
| **Limited Risk** | Transparency obligations | Chatbots, deepfakes, AI-generated content |
| **Minimal Risk** | Largely unregulated | Spam filters, recommendation systems, video-game AI |

# EU AI ACT PROHIBITED AI PRACTICES



**The Act bans AI systems that pose an unacceptable threat to people's rights, safety, or livelihoods. Examples include:**

- Social scoring of individuals
- Certain manipulative or exploitative AI practices
- Some forms of real-time biometric identification and surveillance
- Certain emotion-recognition applications in sensitive contexts

# EU AI ACT
# PROHIBITED AI PRACTICES



**The Act bans AI systems that pose an unacceptable threat to people's rights, safety, or livelihoods. Examples include:**

1. Harmful Manipulation and Deception
- The Act prohibits AI that uses subliminal, deceptive, or manipulative techniques to materially distort a person's behavior in a way that causes or is likely to cause significant harm.

2. Exploitation of Vulnerable Persons
- AI cannot exploit vulnerabilities arising from:
- Age
- Disability
- Social circumstances
- Economic circumstances
- where significant harm may result
- Some forms of real-time biometric identification and surveillance
- Certain emotion-recognition applications in sensitive contexts

# EU AI ACT
# PROHIBITED AI PRACTICES



**The Act bans AI systems that pose an unacceptable threat to people's rights, safety, or livelihoods. Examples include:**

3. Social Scoring
- This prohibition is often compared to concerns about a "citizen score."

The AI Act bans public authorities from using AI to evaluate or classify people based on social behavior or inferred characteristics in ways that result in detrimental treatment.

4. Predictive Policing Based Solely on Profiling

The Act prohibits AI systems that assess the risk that a person will commit a crime based solely on:
- profiling,
- personality traits,
- behavioral history,
- personal characteristics.

# EU AI ACT
# PROHIBITED AI PRACTICES



**The Act bans AI systems that pose an unacceptable threat to people's rights, safety, or livelihoods. Examples include:**

5. Real-Time Facial Recognition in Public Spaces
- The AI Act largely prohibits law-enforcement use of real-time remote biometric identification in publicly accessible spaces, subject to narrow legal exceptions.

6. Biometric Categorization of Sensitive Attributes
- The Act prohibits AI that infers sensitive personal characteristics from biometric data.

7. Facial Recognition Databases Built by Scraping
- The Act prohibits creating or expanding facial-recognition databases through untargeted scraping of: internet images, social media photographs, CCTV footage.

# EU AI ACT PROHIBITED AI PRACTICES

| Overview of Prohibited AI Practices | | |
|---|---|---|
| **Prohibited Practice** | **Example** | **Why Banned** |
| Manipulative or deceptive AI | AI exploiting psychological weaknesses to induce harmful behavior | Violates autonomy |
| Exploitation of vulnerable groups | Targeting children, elderly, or financially distressed individuals | Unfair exploitation |
| Social scoring | Ranking citizens based on behavior or personal characteristics | Threatens dignity and equality |
| Predictive criminal profiling | Predicting criminality solely from personality traits or profiling | Discriminatory and unreliable |
| Certain biometric surveillance | Real-time facial recognition in public spaces by law enforcement (except limited exceptions) | Mass surveillance concerns |
| Biometric categorization of sensitive attributes | Inferring race, religion, sexual orientation, political beliefs | Severe privacy and discrimination risks |
| Untargeted facial-image scraping | Collecting facial images from internet/CCTV to build recognition databases | Lack of consent and mass surveillance |
| Emotion recognition in workplaces and schools | Monitoring employee or student emotions | Intrusive and potentially discriminatory |

# WHY THESE BANS



| From an AI governance perspective, the prohibited practices reveal three core EU principles: | |
|---|---|
| ***Principle*** | ***Examples of Related Prohibitions*** |
| **Human Autonomy** | Manipulation, exploitation of vulnerabilities |
| **Fundamental Rights** | Social scoring, predictive policing |
| **Privacy & Human Dignity** | Facial recognition scraping, biometric categorization, emotion recognition |

# EU AI ACT HIGH RISKS SYSTEMS



Organizations developing or deploying high-risk AI must meet extensive requirements, including:

- Risk management processes
- High-quality datasets
- Technical documentation
- Record keeping and logging
- Human oversight
- Accuracy, robustness, and cybersecurity controls
- Conformity assessment before market deployment

# MAJOR CATEGORIES OF HIGH-RISK AI



| High-Risk AI | |
|---|---|
| ***Domain*** | ***Example AI System*** |
| Biometrics | Facial recognition or biometric categorization |
| Critical Infrastructure | Power grid optimization, water supply management |
| Education | Admissions, grading, examination proctoring |
| Employment | Resume screening, candidate ranking, promotion recommendations |
| Essential Services | Credit-scoring, insurance underwriting |
| Law Enforcement | Crime analytics, evidence assessment |
| Migration & Border Control | Visa application assessment |
| Justice & Democratic Processes | Judicial decision support, election-related systems |

# EXAMPLES AND GOVERNANCE REQUIREMENTS



## Example 1: AI Recruitment System

### Scenario

A company uses AI to:

- Screen CVs
- Rank applicants
- Recommend interview candidates

This is explicitly considered a high-risk use case under the employment category. [aiactindex.eu], [

**Governance Requirements**

The provider must implement:

- ✅ Risk management system
- ✅ Bias and fairness testing
- ✅ Technical documentation
- ✅ Data quality controls
- ✅ Logging and traceability
- ✅ Human oversight
- ✅ Accuracy and robustness testing
- ✅ Post-market monitoring

# EXAMPLES AND GOVERNANCE REQUIREMENTS



## Example 2: AI University Admissions System

### Scenario

AI automatically evaluates:

- Application essays
- Academic records
- Interview results to determine admission recommendations.

The education category is specifically identified as high risk.

### Governance Requirements

The university would need:

- Documentation of model logic
- Validation of training data
- Human review of admissions decisions
- Monitoring for discrimination
- Audit trails explaining recommendations

**Governance Principle**

AI may assist decision-making, but humans remain accountable for final decisions.

# EXAMPLES AND GOVERNANCE REQUIREMENTS



**Example 3: Credit Scoring System**

**Scenario**

A bank uses AI to determine:

- Loan approval
- Credit limits
- Mortgage eligibility

Creditworthiness assessment is specifically listed as high risk.

**Required Controls**

- Explainability
- Data governance
- Regular model validation
- Bias testing
- Human appeal mechanisms
- Continuous monitoring

# WHAT DOES GOVERNANCE ACTUALLY REQUIRE?



| Key obligations include: | |
|---|---|
| ***Governance Element*** | ***Purpose*** |
| Risk management | Identify and mitigate harms |
| Data governance | Ensure datasets are relevant and appropriate |
| Technical documentation | Enable audits and regulatory review |
| Logging | Maintain traceability |
| Human oversight | Prevent fully unchecked automation |
| Accuracy testing | Demonstrate reliability |
| Robustness | Resist errors and failures |
| Cybersecurity | Protect against attacks |
| Monitoring | Detect problems after deployment |

# A UNIVERSITY GOVERNANCE EXAMPLE



**Before Deployment**
- Conduct bias testing across demographic groups
- Validate historical admission data
- Document intended use
- Assess potential impacts on applicants

**During Operation**
- Human admissions committee reviews AI outputs
- AI recommendations cannot automatically reject candidates
- Decision logs retained

**After Deployment**
- Annual bias audit
- Monitoring of admission outcomes
- Incident reporting process
- Model retraining review

# ENFORCEMENT STRUCTURE



The Act is enforced through:

- National market-surveillance authorities in EU Member States.
- Conformity assessment processes for applicable high-risk systems.
- Registration and documentation requirements.
- Post-market monitoring and incident reporting obligations

# TYPES OF REGULATORY RESPONSES



If a high-risk AI system is found to be non-compliant, authorities may require organizations to:

1. Correct the non-compliance.
2. Restrict the system's use.
3. Withdraw the system from the market.
4. Recall the system where appropriate.

# FINANCIAL PENALTIES



## 1. Violations of Prohibited Practices

These are the most serious violations.

Maximum penalties can reach:

- **€35 million**, or
- **7% of total worldwide annual turnover**,

whichever is higher.

# FINANCIAL PENALTIES



## 2. Non-Compliance with High-Risk Obligations

For high-risk systems, penalties may apply when organizations fail to satisfy regulatory requirements such as:

- risk management,
- documentation,
- logging,
- data governance,
- human oversight,
- post-market monitoring.

# FINANCIAL PENALTIES



## 3. Supplying False Information

Organizations may also face penalties for providing incorrect, misleading, or incomplete information to regulators or conformity-assessment bodies.

Examples:

- Misrepresenting testing results.
- Concealing known model failures.
- Providing inaccurate compliance documentation.

# EU AI ACT LIMITED-RISKS SYSTEMS



## Core Principle

The EU's philosophy is:

- People should not be deceived into believing AI is human or that AI-generated content is authentic when it is not.

- Unlike high-risk systems, limited-risk systems do not require conformity assessments, risk management systems, or CE marking.

- Instead, they must satisfy specific disclosure and transparency requirements.

# EU AI ACT LIMITED-RISKS SYSTEMS

| **Distinction** | |
|---|---|
| Context | Treatment |
| Emotion recognition in workplaces and schools | Generally prohibited under Article 5 |
| Emotion recognition in other contexts | Allowed but subject to transparency obligations |

**Examples:**

- Chatbots and Conversational AI
  - Users must be informed that they are interacting with an AI system.
- AI-Generated Text, Images, Audio, and Video
  - Providers must ensure that AI-generated or AI-manipulated content can be detected as such, including the use of machine-readable markings where required.
- Deepfakes
  - Deployers must disclose that content has been artificially generated or manipulated.
- Emotion Recognition Systems
  - People must be informed when they are exposed to emotion-recognition systems.

# UNIVERSITY EXAMPLE

| *AI Application* | *AI Act Category* | *Treatment* |
|---|---|---|
| Student-facing AI helpdesk chatbot | Limited-risk | Must disclose AI interaction |
| AI-generated marketing images | Limited-risk | AI-generated content must be identifiable |
| AI-generated promotional videos | Limited-risk | Disclosure required if synthetic content is used |
| AI system inferring student emotions during online classes | Potentially prohibited | May fall under Article 5 ban on emotion recognition in educational settings |
| AI-based admission decision system | High-risk | Extensive compliance obligations apply |

# UNIVERSITY EXAMPLE

| *AI Application* | *AI Act Category* | *Treatment* |
|---|---|---|
| Student-facing AI helpdesk chatbot | Limited-risk | Must disclose AI interaction |
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| AI system inferring student emotions during online classes | Potentially prohibited | May fall under Article 5 ban on emotion recognition in educational settings |
| AI-based admission decision system | High-risk | Extensive compliance obligations apply |

# EU AI ACT LOW-RISKS SYSTEMS



- Under the EU AI Act, low-risk (minimal-risk) AI systems are essentially not regulated by mandatory AI-specific requirements.
- The Act focuses its legal obligations on prohibited, high-risk, and transparency-risk (limited-risk) systems.
- For minimal-risk systems, the EU generally encourages voluntary good practices rather than imposing legal compliance obligations.

# EXAMPLES OF MINIMAL RISK AI

Examples commonly falling into the minimal-risk category include:

- Spam filters
- AI-enabled video games
- Inventory optimization systems
- Recommendation engines for entertainment content
- AI-assisted grammar and spell checking
- Basic customer segmentation tools
- Predictive maintenance systems in manufacturing (outside safety-critical contexts)

# IMPORTANT CAVEAT: OTHER LAWS STILL APPLY

A minimal-risk AI system is **not exempt from all regulation**. Organizations may still need to comply with other EU laws, including:

- General Data Protection Regulation (GDPR)
- Consumer protection laws
- Product safety rules
- Copyright law
- Anti-discrimination law

# UNIVERSITY EXAMPLE

| *University AI Application* | *Likely Category* |
|---|---|
| AI grammar checker for students | Minimal-risk |
| AI-assisted library search | Minimal-risk |
| AI-generated teaching illustrations | Minimal-risk (unless transparency obligations apply) |
| Student-facing chatbot | Transparency-risk |
| AI-based admissions screening | High-risk |
| AI emotion detection during online examinations | Potentially prohibited |

# CASE STUDY – LUXESTAY HOTEL



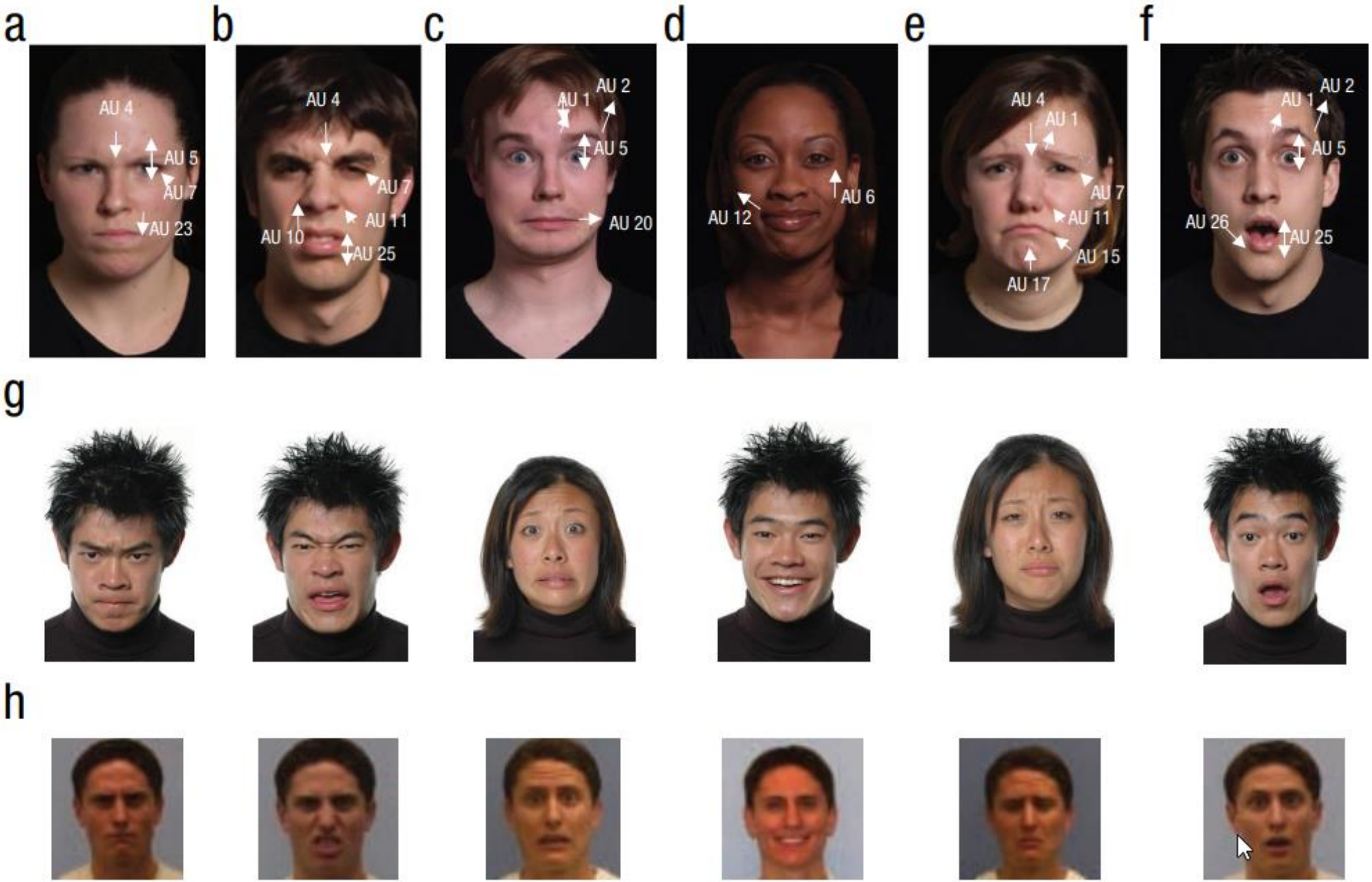
**Case Study: "Personalization vs. Privacy – The AI Strategy at LuxeStay Hotels“**

***Background***

- LuxeStay Hotels, a global luxury hotel chain, has launched an AI-driven personalization platform called *Guest360*. The system collects and analyzes guest data from previous stays, social media activity, and third-party travel apps to tailor services – such as room preferences, dining suggestions, and personalized greetings.

- Guests who opt into the program receive enhanced experiences, but many are unaware of the extent of data collection. Recently, a tech journalist revealed that *Guest360* uses facial recognition to identify VIP guests upon arrival and **predict mood for service adjustments**. This revelation sparked debate about consent, data ethics, and surveillance.

- The company insists that personalization enhances guest satisfaction and loyalty. However, critics argue that LuxeStay may be violating privacy norms and risking reputational damage.


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# THE ISSUES



**Ethical Evaluation**:
Using an ethical framework (e.g., deontology, consequentialism, virtue ethics), assess the ethical implications of LuxeStay's use of Guest360. Focus on consent, emotional profiling, and fairness.

**Stakeholder Analysis**:
Identify and analyze the interests and ethical concerns of key stakeholders (e.g., guests, employees, regulators, shareholders). How should LuxeStay prioritize these interests?

**Business vs. Ethics**: How should LuxeStay balance its business goals (e.g., loyalty, revenue, brand differentiation) with ethical concerns in AI personalization?

**Strategic Recommendation**:
Propose a revised strategy for LuxeStay to ethically implement AI personalization. Include specific actions related to governance, guest communication, data handling, and cross-jurisdictional compliance.

# ETHICAL EVALUATION



- From a deontological standpoint, actions are judged by their adherence to moral duties and rights, not outcomes.
- Violation of Autonomy: Guests are not fully informed about the extent of data collection and emotional profiling, undermining their ability to make autonomous choices.
- Lack of Informed Consent: Consent buried in terms and conditions is ethically insufficient.
- Emotional Manipulation: Using inferred emotional states to drive upselling may exploit vulnerable guests.
- Surveillance: Monitoring guest behavior without explicit consent violates privacy norms.

Conclusion: LuxeStay's current use of Guest360 violates ethical duties of transparency, respect, and fairness.

Regardless of business benefits, the system must be restructured to uphold guest rights.

# STAKEHOLDERS IMPACT ANALYSIS



- **Guests**: Expect comfort and personalization, but also privacy and dignity. Concerns include surveillance, emotional profiling, and lack of control over personal data.
- **Employees**: May rely on AI insights to serve guests, but could be pressured to act on questionable predictions.
- **Management**: Achievement of short-term financial targets, potentially boosting careers. Legal and reputational liability if the practice is exposed as discriminatory or unethical, damaging their professional reputations.
- **Shareholders**: Interested in innovation and profitability, but exposed to reputational and legal risks.
- **Regulators**: Focused on compliance with data protection laws and ethical AI use.
- **Society**: Concerned about the normalization of surveillance and emotional manipulation in commercial settings.

LuxeStay must prioritize **guest trust and regulatory compliance**, as these are foundational to long-term brand equity and operational sustainability.

# BUSINESS VS. ETHICS



**Business Goals**:
•Enhance guest satisfaction
•Increase repeat bookings
•Differentiate brand through innovation

**Ethical Risks**:
•Breach of trust
•Legal liability (e.g., GDPR violations)
•Negative publicity

LuxeStay must recognize that **long-term brand value** depends on **ethical integrity**. A short-term boost in loyalty is not worth compromising guest trust. Ethical AI can be a **competitive advantage** if implemented responsibly.

# STRATEGIC RECOMMENDATION



**Revised Strategy for Ethical AI Personalization**:

•**Guest Consent**: Use interactive onboarding to explain personalization features and allow granular control.

•**Data Governance**: Limit data collection to what is necessary; anonymize sensitive data.

•**Transparency**: Provide real-time dashboards for guests to view and manage their data.

•**Human Oversight**: Ensure AI decisions (e.g., mood-based service changes) are reviewed by staff.

•**Ethics Committee**: Establish an internal board to audit AI practices and ensure compliance.
This strategy aligns personalization with ethical standards, enhancing both guest experience and brand reputation.

# REGULATORY FRAMEWORKS IN MARKETING AI



**GDPR Emphasis**

GDPR focuses on data protection and consumer rights in the European Union's AI marketing use.

**CCPA Protections**

CCPA provides similar consumer privacy protections for AI marketing in the United States.

**FTC Guidelines**

FTC guidelines ensure fairness and transparency in AI-driven advertising practices.

**Need for Global Standards**

Global standards are needed to govern cross-border digital marketing and AI technology use.

# REGULATORY FRAMEWORKS IN MARKETING AI

| For teaching AI governance, it is useful to compare the EU AI Act with GDPR: | |
|---|---|
| **GDPR** | **EU AI Act** |
| Focus on personal data | Focus on AI risks |
| Data protection authority oversight | AI and market-surveillance oversight |
| Accountability principle | Risk-management principle |
| Privacy impact assessments | AI risk-management and conformity assessments |
| Administrative fines | Administrative fines plus market restrictions |

# AI IN HUMAN RESOURCES AND HIRING

# ETHICAL ISSUES IN AI FOR HR & HIRING

**AI in HR Functions**

AI supports tasks like resume screening and performance analysis in HR departments.

**Ethical Challenges**

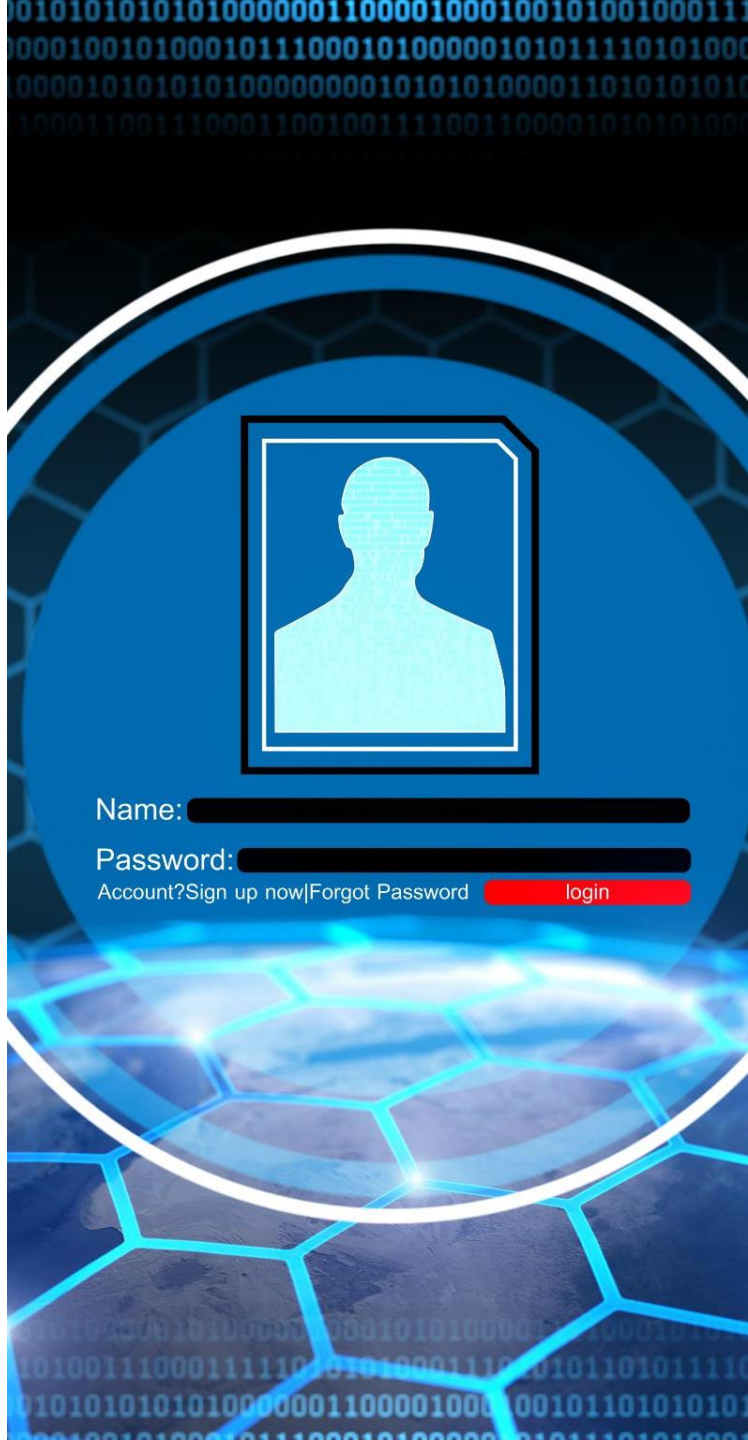
Lack of transparency and bias in AI systems can cause unfair hiring practices.

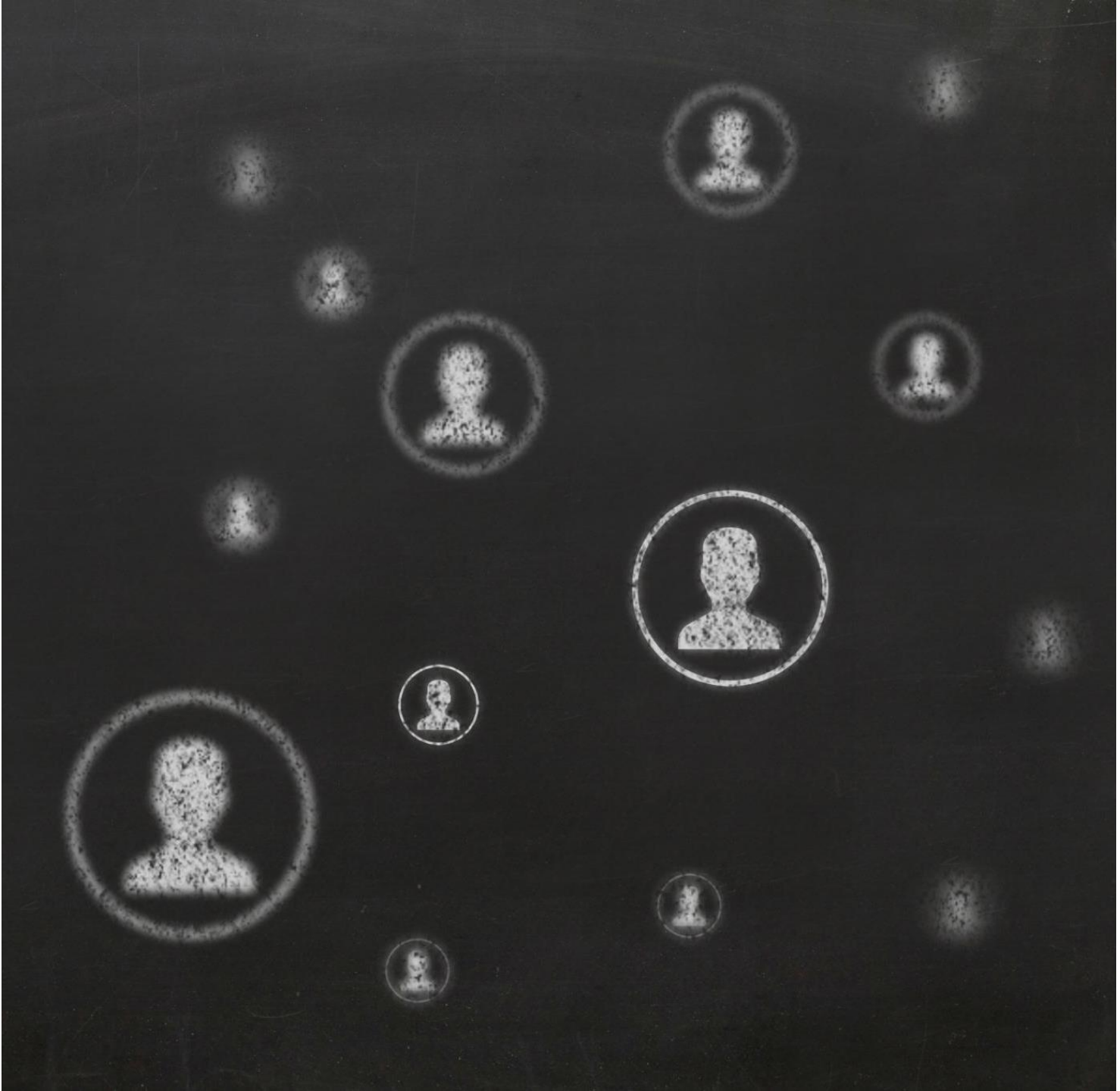
**Bias from Historical Data**

AI trained on past data may favor certain demographics, causing discrimination.

**Need for Oversight**

Human oversight and ethical guidelines are critical to ensure fairness in AI hiring.





# ISSUES ON AI IN HIRING

**Bias Risks in AI Hiring**

AI systems can inherit bias from training data, leading to unfair exclusion of qualified candidates.

**Impact on Workplace Diversity**

Biased hiring algorithms reduce workforce diversity and limit inclusive recruitment outcomes.

**Need for Careful AI Design**

Designing AI with fairness in mind and regular audits can mitigate bias and promote equity.

# REGULATORY LANDSCAPE IN HR AI

**Anti-Discrimination Enforcement**

The EEOC enforces laws preventing discrimination in AI-driven HR decisions in the US.

**Data Privacy Rights**

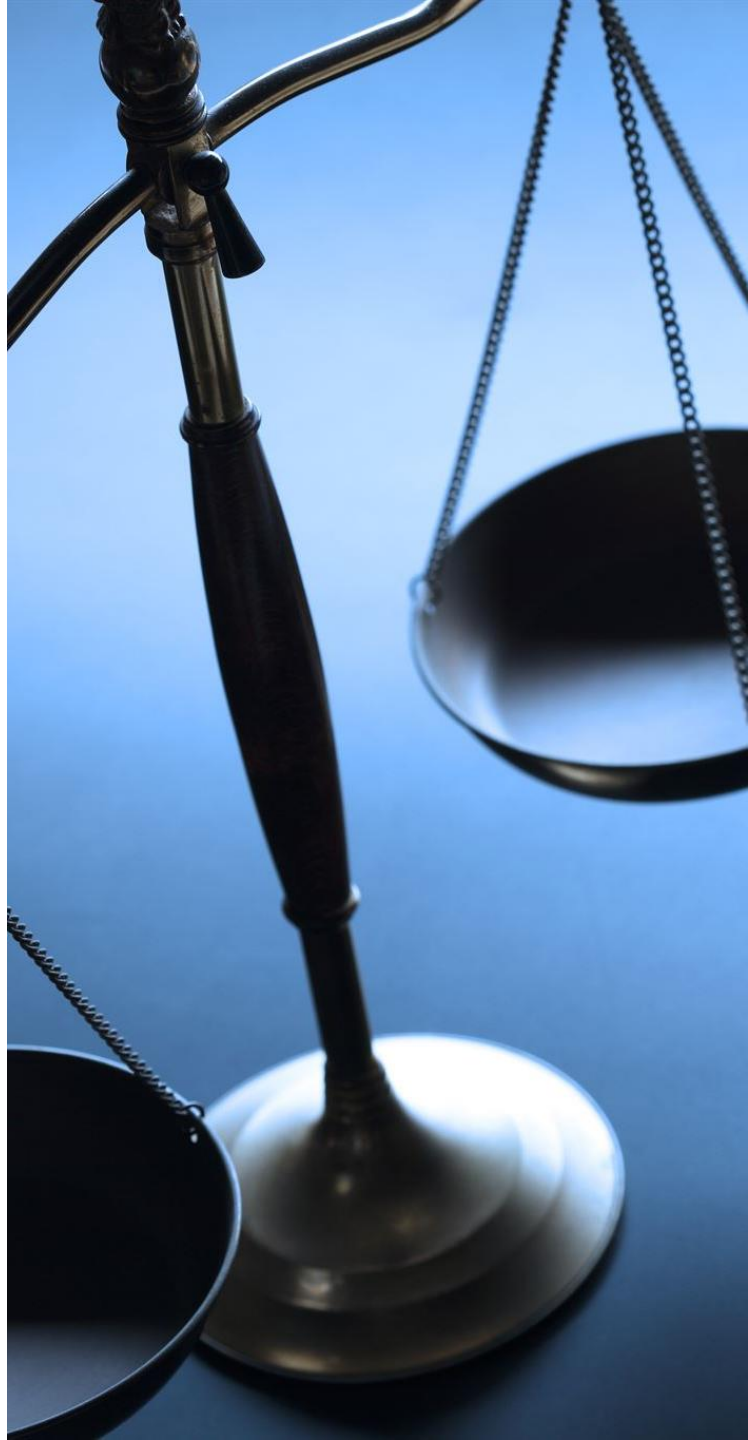
GDPR protects personal data and grants rights to individuals in the EU regarding AI use.

**High-Risk AI Classification**

The EU's AI Act categorizes HR AI systems as high-risk requiring strict regulatory oversight.

**Ethical Algorithmic Audits**

Regular audits ensure AI algorithms in HR comply with ethical standards and regulations.



# CASE STUDY – LINKEDIN




## Background:

- The goal of recruiting websites is to match qualified candidates with available positions. To organize all these openings and candidates, many platforms employ AI-powered recommendation algorithms. The algorithms, sometimes referred to as matching engines, process information from both the job seeker and the employer to curate a list of recommendations for each.
- Most matching engines are optimized to generate applications. These systems base their recommendations on three categories of data: (1) information the user provides directly to the platform; (2) data assigned to the user based on others with similar skill sets, experiences, and interests; and (3) behavioral data, like how often a user responds to messages or interacts with job postings.
- In LinkedIn's case, these algorithms exclude a person's name, age, gender, and race, because including these characteristics can contribute to bias in automated processes. Even so, the service's algorithms could still detect behavioral patterns exhibited by groups with particular gender identities.
- For example, men often include more skills on their résumés at a lower degree of proficiency than women, and they often engage more aggressively with recruiters on the platform.
- The algorithm interprets this variation in behavior and adjusts its recommendations in a way that inadvertently disadvantages women.
- The AI might be recommending, for example, more senior jobs to one group of people than another, even if they're qualified at the same level

**Those people might not get exposed to the same opportunities. And that's really the impact that we're talking about here.**

# CASE STUDY – LINKEDIN




## Background:

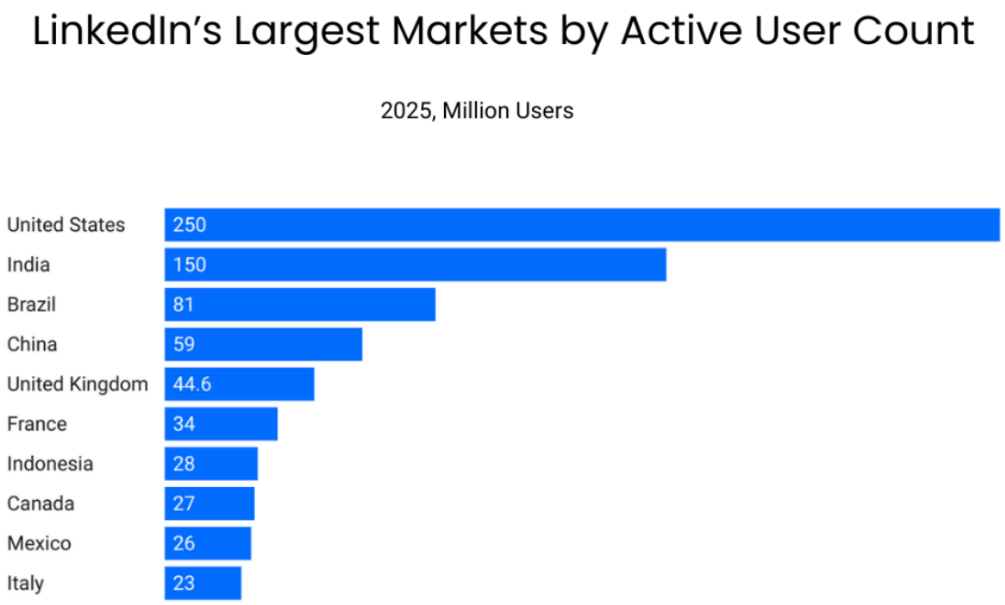
- Several years ago, the employment-oriented social media platform – LinkedIn – discovered that the AI algorithm that was used to match candidates with job opportunities was producing biased results independently from users' professional experience and/or skills.

- More specifically, Linkedin's AI algorithm was ranking its candidates based on how likely they were to apply for a position or respond to a recruiter.

- As a result, when professionals with similar experience and skills were scouting for a job, the algorithm was presenting /advertising more job posts to men than women simply because men are more aggressive in searching out new chances.

*(LinkedIn was fined 310M Euros for GPDR violation in 2024 on its targeted advertising practice)*

# CASE STUDY – LINKEDIN




- As of late 2025, LinkedIn facilitates over 3 million new hires every year, which translates to an average of over 250,000 new hires per month.

<u>2025 figures:</u>

- Job applications per minute: Over 9,000 job applications are submitted on the platform every minute, adding up to more than 12 million daily.
- Weekly job seekers: As many as 65 million people use LinkedIn to search for jobs every week.
- Recruiter usage: Between 72% and 87% of recruiters use LinkedIn during their hiring process, with many considering it the top platform for sourcing high-quality candidates.
- Company activity: Over 2.7 million companies post new job listings on LinkedIn every week.

# CASE STUDY – LINKEDIN



***What has been the impact on people/third parties of LinkedIn's AI system?***

- Artificial intelligence is becoming predominant in the hiring process. The technology is very likely to influence job seekers' search and the job posts they see, and in most cases, AI will decide whether to pass a résumé on to the companies' recruiters.

- Some companies might ask potential employees to play an AI-powered game to assess skills and gauge whether they will be fit for a job position or not.

- With this premise, it is extremely important to prevent AI algorithms from developing discriminatory biases.

- The negative impact on the people can range from inequitable hiring practices to privacy breaches and much more. Needless to say, the LinkedIn AI algorithm is unethical and does not comply with the EU seven requirements for ethical artificial intelligence.

Indeed, the algorithm is not only breaching fundamental EU rights such as the right to equality between men and women, the right to non-discrimination, and the right to privacy, amongst others, but also failing to comply with the requirement of technical robustness and safety. The AI system is failing to produce similar outcomes when similar scenarios are presented, by prioritizing men over women.

# CASE STUDY – OPTIMAX CORP



## "AI at Work – The Dilemma at OptiMax Corp“

**Background:**

- OptiMax Corp is a mid-sized logistics company that recently implemented an AI-powered employee monitoring system called *WorkSight*. The system tracks employee productivity using keystroke logging, screen activity, and biometric data (e.g., facial expressions via webcam) to assess engagement and performance.

- Management claims the system improves efficiency and identifies training needs. However, several employees have raised concerns about privacy, consent, and psychological stress. A whistleblower recently leaked internal documents showing that *WorkSight* flags employees for “low engagement” based on facial expressions, which may be influenced by cultural or neurodiverse traits.

The company is now facing public scrutiny, and the board has asked the ethics committee to evaluate the situation and recommend a course of action.

# THE ISSUES



**Ethical Analysis**: Apply an ethical framework (e.g., utilitarianism, deontology, virtue ethics) to evaluate OptiMax's use of WorkSight. Is it ethically justified?

**Stakeholder Impact**: Identify key stakeholders and analyze how WorkSight affects each group. What ethical responsibilities does OptiMax have toward these stakeholders?

**Policy Recommendation**: Propose a policy for responsible AI use in employee monitoring. Justify your recommendation with reference to ethical principles and business considerations.

# ETHICAL EVALUATION



**Ethical Analysis** (Utilitarianism)Under utilitarianism, actions are judged by their consequences – maximizing overall happiness and minimizing harm.

**Benefits**: Increased productivity, better training allocation, and potential cost savings.

**Harms**: Invasion of privacy, psychological stress, biased assessments, erosion of trust.

While the system may benefit the company financially, the *disproportionate harm* to employees, especially those from marginalized groups, outweighs the gains.

Therefore, from a utilitarian perspective, WorkSight is not ethically justified unless redesigned to minimize harm and ensure transparency and consent.

# STAKEHOLDER IMPACT



•**Employees**: Better training allocation? Loss of autonomy, privacy concerns, and emotional distress.

•**Management**: Pressure to improve performance, risk of reputational damage.

•**Shareholders**: Short-term gains vs. long-term ethical risks.

•**Customers**: Potential backlash if the company is seen as unethical.

•**Society**: Sets precedent for surveillance culture.

OptiMax has a duty to **respect employee dignity**, ensure **fair treatment**, and **avoid discriminatory practices**. Ethical responsibility includes **informed consent**, **bias mitigation**, and **transparent communication**.

# POLICY RECOMMENDATION



**Policy Proposal**: Implement an AI Ethics Charter with the following principles:

- Transparency: Clear communication about data collection and usage.
- Consent: Voluntary opt-in with the ability to opt-out without penalty.
- Bias Audits: Regular testing for algorithmic fairness.
- Human Oversight: Decisions affecting employment must involve human review.
- Well-being Safeguards: Psychological impact assessments and support systems.

This policy balances business efficiency with ethical integrity, fostering trust and long-term sustainability.

# STRATEGIES AND FUTURE DIRECTIONS

# BEST PRACTICES FOR ETHICAL AI USE

**Human Oversight Importance**

Maintaining human oversight ensures AI decisions align with ethical standards and human values.

**Algorithmic Transparency**

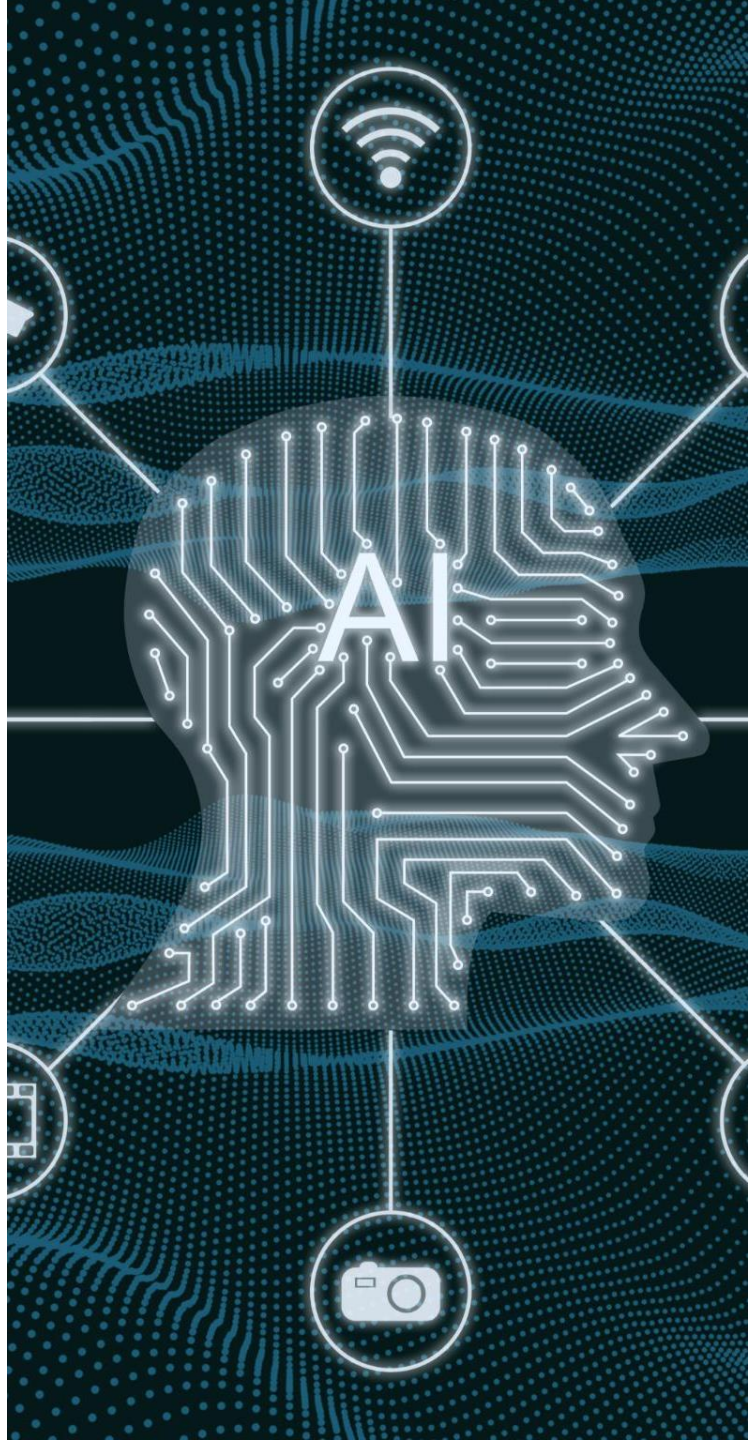
Promoting transparency helps stakeholders understand AI processes and builds trust in the system.

**Bias Mitigation Strategies**

Implementing bias mitigation reduces unfair outcomes and enhances AI fairness and inclusiveness.

**Ethical Training and Engagement**

Training developers and engaging stakeholders fosters accountability and ethical AI deployment.



# FUTURE DIRECTIONS & CHALLENGES



### Evolving AI Regulations

AI regulations are continuously changing, requiring businesses to adapt quickly to comply with new laws.

### Ethical AI Certifications

Development of ethical AI certifications ensures AI systems meet moral and legal standards in business applications.

### Leadership in Responsible AI

Business leaders set ethical standards and promote accountability for responsible AI use across teams.

### Challenges in AI Integration

Challenges include managing complexity, adapting to regulatory shifts, and addressing public concerns about AI.